

Q&A Summary for the Earnings Call for FY2026 Q1

Q: Could you explain the volume and background of the shipments that slipped from Q1 to Q2?

A: The shipments that slipped from Q1 to Q2 were originally scheduled for delivery at the end of the quarter but were postponed due to logistics-related reasons.

Q: Could you explain the breakdown of the Q2 guidance?

A: We expect revenue of ¥2.39 trillion in Q2, representing approximately 35% QoQ growth. ASP is expected to be the largest contributor to revenue growth. GB volumes are also expected to increase, while the FX assumption is based on a rate of ¥162 versus ¥160 in Q1. By application, volumes for data center and enterprise are expected to continue growing. In addition, smart device volumes are expected to increase, supported by seasonal demand. Looking ahead to the second half, there are no significant changes to our production plans, and we intend to continue meeting strong demand.

Q: Could you provide an update on the status of LTAs (Long-Term Agreements)?

A: We are promoting LTAs with the objectives of improving long-term demand visibility, providing support for growth investments, and strengthening business and technology engagement with enterprise and hyperscale customers. While we cannot disclose details of individual agreements, we are on track toward our 50% LTA volume coverage for CY2028. We are also seeing interest from customers in longer-term agreements and are positively evaluating such opportunities.

Q: What is your outlook for AI inference demand? In addition, how do you expect the growing adoption of open-source AI models, including those from China, to impact NAND demand?

A: We believe AI inference, particularly Agentic AI, is still in its early stages of adoption. As Agentic AI applications become more widespread, dependence on storage continues to increase, driving greater SSD capacity requirements and demand for SSDs with high random-access performance in inference servers. Furthermore, if open-source AI models reduce the cost of AI usage, broader AI adoption could lead to increased data creation and utilization, ultimately driving higher demand for flash memory.

Q: How frequently do you communicate with key customers?

A: We have great sales and sales engineering teams located across major global regions, including Silicon Valley in the United States, and maintain daily contact with our customers. In addition to procurement teams, we engage closely with customers' engineering organizations and continuously exchange information regarding project developments and demand trends.

Q: With regard to capital expenditure, if competitors aggressively expand capacity, would Kioxia follow to maintain market share, or prioritize product differentiation and higher value-added solutions?

A: Our priority is to strengthen our technological advantages. We will continue to focus investments on key areas of competitiveness, including performance improvements, lower power consumption, and product quality. We currently plan capital expenditures of approximately ¥450 billion in FY2026 and an annual average of approximately ¥470 billion over the next three years. At the same time, we remain flexible and may adjust investment levels depending on market conditions.



Q: Why do you believe demand will exceed supply in CY2027, and how do you view the competitive environment, including Chinese suppliers?

A: We believe demand related to generative AI and AI inference will continue to expand and may not yet be fully reflected in current market forecasts. In addition, Kioxia benefits from a broad global customer base, and we believe the strength of AI-related demand and progress in LTAs reflect our competitive position. We will continue to enhance our competitiveness through technological leadership, reliability, and strong customer engagement.

Q: How do you assess the risk of weaker smartphone and PC demand?

A: Rising BOM costs have contributed to lower shipment volumes, particularly in low- to mid-range smartphones and PCs. At the same time, we believe there is potential for deferred replacement demand and demand recovery once pricing normalizes. In addition, discussions around AI processing at the edge are accelerating, which could increase NAND demand in consumer devices. We are also continuing development of higher-performance products, including UFS 5.0 for on-device AI applications, and intend to capture these opportunities through close technical engagement with customers.

Q: Could you elaborate on your shareholder return policy following the share buyback?

A: Our fundamental capital allocation policy remains unchanged. After securing capital expenditures, R&D investments, investments in human capital, and necessary working capital, we intend to allocate approximately half of excess cash flow to shareholder returns. We will continue to consider shareholder return measures, including dividends and share buybacks, based on future cash flow generation.

Q: Why did you choose to implement a share buyback ahead of dividends, and what is your shareholder return policy going forward?

A: We continue to evaluate the possibility of initiating dividends and may consider doing so in the second half of the fiscal year. The decision to implement a share buyback was based on our view that it is an effective measure to improve capital efficiency in light of the recent share price decline. The relatively short buyback period reflects our intention to act in an agile and flexible manner. Share buybacks, like dividends, are an important component of shareholder returns, and there has been no change to our policy of returning excess cash flow to shareholders.

Note:

- Unless otherwise specified, all references are in fiscal years
- This document is a summary of the questions were asked and answered during the earnings call. Some expressions have been edited to be easier to understand.